

Lotes (3533 TT)

Share price (12 Aug): **TWD2,010.00**

12-mth rating: **Buy (1)**

Information Technology: Taiwan

2Q26 results: lower-than-expected margins

Sheng Cheng

(886) 2 8758 6253

sheng.cheng@daiwacm-cathay.com.tw

Allan Wang

(886) 2 8758 6249

allan.wang@daiwacm-cathay.com.tw

Summary: Lotes released its 2Q26 results after market hours on 12 August. Lotes' 2Q26 earnings came in at TWD2.0bn (EPS: TWD17.6), which was 30% lower than our and 17% lower than the street's expectations. While revenue was slightly lower than expected, 2Q26 gross margin decreased by 4.0pp QoQ to 45.5%, driven mainly by rising raw material costs (eg, copper, gold, plastics) and a delayed margin uplift from new-generation CPU platforms due to component shortages in the supply chain. Operating margin declined 7.0pp QoQ to 22.0%, reflecting higher-than-expected opex from a one-time employee stock bonus expense. Looking into 3Q26, we expect top-line momentum to remain robust, driven mainly by strength in Lotes' QD business. However, while QD growth supports the top line, it also weighs on margins given its lower profitability profile. Combined with elevated raw material costs and an unfavourable product mix shift, we believe margin pressure will persist into 3Q26. We think a meaningful improvement in profitability will require higher penetration of next-generation CPU platforms, which should provide a more substantial margin boost once ramped. That said, despite these near-term headwinds, we remain positive on Lotes given its long-term positioning as a key CPU server play. Lotes is hosting results call on 13 August and we will provide updates in due course. We have a Buy (1) rating on Lotes with a 12M TP of TWD3,533, based on a target PER of 28x applied to our 1-year-forward EPS forecast. Key risk: lower-than-expected adoption of server CPU platforms.

Lotes' 2Q26 results highlights

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenue	9,569	3%	15%	10,335	-7%	10,071	-5%
Gross profit	4,351	-6%	2%	5,537	-21%	4,964	-12%
Gross margin (%)	45.5%			53.6%		49.3%	
Operating profit	2,103	-22%	-19%	3,604	-42%	2,979	-29%
Operating margin (%)	22.0%			34.9%		29.6%	
Pre-tax profit	2,598	-13%	113%	3,726	-30%	3,132	-17%
Net profit	1,984	-17%	165%	2,851	-30%	2,398	-17%
EPS (TWD)	17.63	-17%	165%	25.34	-30%	21.31	-17%

Source: Company data, Daiwa forecasts, Bloomberg

What's the impact:

Below are our read-throughs from Lotes' 2Q26 results. Lotes is hosting results call on 13 August and we will provide updates in due course.

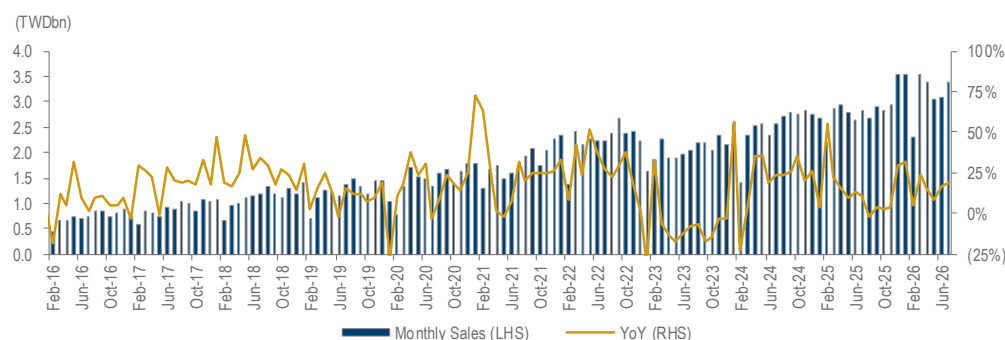
- **2Q26 results dragged by gross margin and high opex.** Lotes' 2Q26 earnings came in at TWD2.0bn (EPS: TWD17.6), which was 30% lower than our and 17% lower than the street's expectations. While revenue was slightly lower than expected, 2Q26 gross margin decreased by 4.0pp QoQ to 45.5%, driven mainly by rising raw material costs (eg, copper, gold, plastics) and a delayed margin uplift from new-generation CPU platforms due to component shortages in the supply chain. Operating margin declined 7.0pp QoQ to 22.0%, reflecting higher-than-expected opex from a one-time employee stock bonus expense. As for net profit, it was boosted by a higher-than-expected non-op gain of c.TWD500m (vs. our estimate of c.TWD120m).

Lotes: Jul-26 monthly sales (TWDbn)

Company	Ticker	Price	Rating	Jul Sales	MoM	YoY	3Q26E Sales	QoQ	YoY	Achieved %	PER		3-Yr Range	Release Date	Consensus	Consensus Achieved %
											2026E	2027E				
Lotes	3533 TT	1,910	Buy	3.4	9%	19%	11.7	23%	38.73%	29%	17.7	13.0	8-21x	7-Aug	11.0	31%

Source: Company, Daiwa forecasts

Lotes: monthly revenue trend and YoY growth



Source: Company

- Business outlook.** Lotes reported July sales at TWD3.4bn (up 9% MoM and 19% YoY), which achieved 29% of our 3Q26 sales forecast (TWD11.7bn; up 23% QoQ and 39% YoY) and 31% of the Bloomberg consensus of TWD11.0bn. With July revenue accounting for 31-34% of Lotes's 3Q revenue over the past five years, the run-rate is largely on track with the street's expectation. Looking into 3Q26, we expect top-line momentum to remain robust, driven mainly by strength in Lotes' QD business. However, while QD growth supports the top line, it also weighs on margins given its lower profitability profile. Combined with elevated raw material costs and an unfavourable product mix shift, we believe margin pressure will persist into 3Q26. We think a meaningful improvement in profitability will require higher penetration of next-generation CPU platforms, which should provide a more substantial margin boost once ramped. That said, despite these near-term headwinds, we remain positive on Lotes given its long-term positioning as a key CPU server play. Lastly, Lotes announced an issuance of new shares (dilution: c.1.15%) and a TWD3bn convertible bond issuance (dilution: c.1.34%). Lotes is hosting results call on 13 August and we will provide updates in due course.

What we recommend:

We have a Buy (1) rating on Lotes with a 12M TP of TWD3,533, based on a target PER of 28x applied to our 1-year-forward EPS forecast. Key risk: lower-than-expected adoption of server CPU platforms.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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